Is the African Continental Free Trade Area an opportunity for Ivorian women?

Noumoutchè Yaya Traore

Department of Economics, Anadolu University, Eskişehir, Türkiye
noumoutchetraore@outlook.com

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Abstract

The aim of this article is to provide a brief overview of the situation of women in the AfCFTA in Côte d'Ivoire. Unlike other studies, which focus mainly on the potential benefits, this article aims to critically examine the obstacles that are likely to hinder the positive spin-offs for women and young people in Côte d'Ivoire. If these challenges are not properly anticipated, the expected benefits of the agreement may be limited.

1. Introduction

Since the rise of liberalism in the 19th century, the case for free trade has grown, making protectionist policies all but obsolete. The AfCFTA, itself born of the expected benefits of free trade, promises a major step towards a prosperous Africa, as outlined in the African Union's Agenda 2063 'Africa We Want', and would offer enormous opportunities for African economies. The main objective of the AfCFTA is to create a large market for goods and services, and to facilitate the free movement of tangible and intangible capital. This large, unified and integrated market promises to help boost intra-African trade, reduce gender inequalities, revitalise inclusive growth, provide the basis for industrialisation and structural transformation of African economies, and contribute to the empowerment of women. For Côte d'Ivoire, this agreement offers great prospects, especially for women and young people. Indeed, in these negotiations, the AfCFTA gives an important place to young people and women. The decision-makers are convinced that the latter are key players in the success of this agreement. Women, who play a major role in cross-border trade, could benefit from networks of transnational associations, access new funding to modernise their businesses and expand their market share more easily.

However, although the negotiations are paying particular attention to young people and women, trade liberalisation also entails risks, especially for women and young people, who could be adversely affected by the reorganisation of markets and the intensification of competition. So, the question is: to what extent is Côte d'Ivoire ready to meet the challenges posed

by the AfCFTA for women? Is the AfCFTA really a source of opportunities for women, or are the obstacles likely to limit its impact?

To answer these questions, we will begin by analysing the socio-economic and macroeconomic context of Côte d'Ivoire in order to gain a better understanding of what the AfCFTA implies for women. We will then present the challenges that Côte d'Ivoire will have to overcome. A list of acronyms is given in the Appendix.

2. Literature review and socio-economic, macroeconomic and commercial landscape of Côte d'Ivoire

The AfCFTA is a trade agreement that aims to create a free trade area among the 55 member countries of the African Union (AU). The agreement was signed in March 2018 in Kigali, Rwanda, and entered into force on 1 January 2021. The main objective of the AfCFTA is to create a single market for goods and services to facilitate the free movement of people and investment, and to lay the foundations for a continental customs union (AU). It has been estimated that eliminating customs duties on 90% of products currently subject to the tariff regime could increase trade flows by 16%, or around US$16 billion, for sectors such as mining, manufacturing and agricultural products (CN-ZLECAf). By 2023, 54 of the 55 African countries had signed the agreement and 46 countries, including Côte d'Ivoire, had deposited their instruments of ratification with the AU (GIZ, 2023). The AfCFTA is expected to bring enormous benefits to the African continent, with Côte d'Ivoire among the main beneficiaries, according to a World Bank study.

Since emerging from the crisis in 2012, Côte d'Ivoire has regained its momentum as an economic powerhouse in West Africa. As the leading economic power in the West African Economic and Monetary Union (WAEMU), Côte d'Ivoire has enjoyed relatively good macroeconomic performance in recent years. According to recent data from the World Bank, with a GDP of around USD 70 billion and a growth rate of 6.74% in 2022, Côte d'Ivoire ranks among the most dynamic economies in ECOWAS and Africa. With more than a third of the WAEMU's GDP and a per capita GDP of USD 2,486, above the ECOWAS (1,670) and sub-Saharan African (1,690) averages, Côte d'Ivoire is the second richest economy in ECOWAS, after Cape Verde.

Furthermore, in 2021, Côte d'Ivoire's trade openness was 48.5% of GDP, comparable to that of all sub-Saharan African countries (46% of GDP), and net foreign direct investment inflows were 2.3% (DGD, 2023). According to the African Development Bank's 2022 report on industrialisation in Africa, Côte d'Ivoire, with a score of 0.5830, is the 13th most industrialised African country, and 3rd in ECOWAS, well behind Senegal (0.6147) and Nigeria (0.6045).

According to the report by the AfCFTA national committee (CN-ZLECAf), Côte d'Ivoire's

intra-African trade will grow by an average of 7.9% over the period 2016–2021, with a sharp fall in 2020 due to COVID-19. Between 2016 and 2020, the share of intra-African trade in Côte d'Ivoire's total trade remained relatively stable at around 23% (GIZ, 2023). In 2022, Mali, with a value of CFA 909 billion, was among Côte d'Ivoire's top 10 customers. Burkina Faso with 529.50 billion was in 4th place and Ghana 429.05 billion in 9th place worldwide. As for the main suppliers, there are two African countries in the world top 10: Nigeria (2nd) with 1,354.92 billion and Togo (8th) with 290.33 billion. Overall, over the period 2018–2022, Côte d'Ivoire's trade balance is positive with ECOWAS (1,645,208 million) and CEMAC (316,574 million) and in deficit with UMA (1,171,400 million). It is therefore these economic, commercial and institutional provisions that offer Côte d'Ivoire enormous potential gains in the AfCFTA region.

Several in-depth studies present Côte d'Ivoire as one of the major winners from the AfCFTA. For Echandi et al. (2022), the removal of tariff and non-tariff barriers will increase Côte d'Ivoire's real income by 14% by 2035. These results are corroborated by earlier studies on the impact of the AfCFTA by the World Bank (2020) and the United Nations Development Programme (UNDP, 2022b). More specifically, the UNDP study shows that, in addition to the potential gains in terms of GDP, the Ivorian economy could see its revenues increase thanks to the implementation of the AfCFTA (GIZ, 2023). The World Bank (2020) estimates that real income gains from full implementation of AfCFTA could increase by 7% by 2035, with Côte d'Ivoire at the upper end with an income gain of 14%. These same results are confirmed by ITFC and SESRIC researchers (Kenan Bagci (SESRIC), Abdouramane Diallo (ITFC) and Anisse Terai (ITFC)) (2021), who project a 5.3% increase in GDP for Côte d'Ivoire. According to the Direction Générale d'Economie Ivoirienne (JDGE), estimates based on customs revenue data from the Matrice de Comptabilité Sociale (MCS) 2015, and assuming the gradual elimination of customs duties on imports over ten years, Côte d'Ivoire's trade balance would remain in surplus by around 2.02% on average per year, with real GDP growing by more than 2.45% on average per year over the period. These results are in line with those of the World Bank (2021), which projects gains for Côte d'Ivoire in the real wages of unskilled workers. This is because, with the AfCFTA, demand for Ivorian goods would increase, which would encourage Ivorian companies to produce more, by hiring cheap labour. In its latest medium-term plan, the government is addressing the problem of trade constraints by giving priority to industrialisation (GIZ, 2023). Young people and women, who are key players in the Ivorian economy, should therefore expect to see a boost in competitiveness, which would increase their potential earnings and, in turn, improve their well-being.

However, given the socio-economic realities and existing disparities in African economies, particularly in Côte d'Ivoire, the projected opportunities for young people and women may

be less. In Côte d'Ivoire, the predominance of the informal economy, the effectiveness of the education system, the increased vulnerability of young people and women entrepreneurs, the low rate of industrialisation, an economy geared towards the export of raw materials, etc. are just some of the obstacles that could have a negative impact on young people and women in Côte d'Ivoire in the AfCFTA.

3. Predominance of the informal economy

The Ivorian economy is predominantly informal. Around 91.6% of jobs are in the informal economy, and almost all of these are in the private sector (93.8%), 90.4% in agriculture and 97.5% in household services (Kobenan, 2022). In addition, the uneven distribution of economic opportunities across the country means that 80% of the country's economic activities are concentrated in the Abidjan district, according to the World Bank, which increases territorial inequalities, with around 86.9% of economic activities in Abidjan taking place in the informal sector. According to the African Center for Economic Transformation (ACET, 2023), the informal economy accounts for 97.7% of self-employed entrepreneurs, 4.4% of micro-businesses and 61.3% of small and medium-sized enterprises in Côte d'Ivoire. Furthermore, the socio-demographic analysis by Kobenan (2022) reveals that more than 65% of jobs in the informal economy in Abidjan are held by women, who work on their own account and/or mobilise resources for the good of the family; 65.80% of those involved are under 40 years old and 75.60% are between 18 and 35 years old. This over-representation of women is due to the increased feminisation of poverty, compounded by discrimination in access to employment, education, health and housing (Kobenan, 2022).

4. The effectiveness of the Ivorian education system in question

One of the challenges facing Côte d'Ivoire is the effectiveness of its education system. According to UNESCO's International Institute for Capacity Building in Africa, the proportion of children unable to read and understand an age-appropriate text by the age of 10 is 83%. Although the Net Enrolment Rate rose to 91.06% in 2018 (NDP 2021–2025), the poverty of education forces learners to drop out without acquiring basic knowledge. UNESCO estimates that the primary school completion rate will be 68% for girls and 69% for boys by 2022, meaning that more than 30% of children in school do not have access to basic knowledge: reading, writing and arithmetic. As for secondary education, the completion rate is 55.5% for girls and 60.2% for boys. Finally, the gross enrolment rate in higher education was 9% for women in 2020, compared with 11% for men. According to the IOM (2023), in the country's major economic zones, there is a mismatch between the supply of skills for young people in these cities

and the needs of large companies. The result is an exodus to Abidjan. In its report, the IOM (2023) deplores the fact that young women suffer most from this situation, which increases their chances of dropping out of school. UNESCO (IICBA, 2022) estimates that a child born today in Côte d'Ivoire will reach only 38% of his or her potential, a level below the average for sub-Saharan Africa.

This bleak climate of education in Côte d'Ivoire highlights not only the enormous obstacles facing young people and women, but also the challenges faced by the private sector (SMEs and SMIs) when it comes to the skills on offer in Côte d'Ivoire.

5. Inequality and vulnerability of women in Côte d'Ivoire

A global view of the situation of women in African economic activity cited by FEMNET campaigner Fatimah Kelleher (2021) is that the female workforce is still mainly found in the continent's agricultural sector, contributing to 70% of food production. For the CN-ZLECAf, 64% of women's participation in the labour market in Côte d'Ivoire is mainly in the informal sector. This is because the low level of education keeps them in the informal sector, forcing them into activities with little added value and no funding. But also, the status of women in Côte d'Ivoire forces them to take on special responsibilities, i.e. non-commercial and non-remunerative production activities, for the well-being of the family. According to the IOM, with an unemployment rate of 3.5% compared to 2.3% for men, and a non-employment rate of 54.2% compared to 32.8% for men, women are more exposed to unemployment and precarious employment in Côte d'Ivoire. In addition, the working poor rate is higher among women (34.68%) and in rural areas (43.1%) (IOM, 2023), the majority of whom are engaged in subsistence farming or informal service activities. According to Fatimah Kelleher (2021), because of gender inequalities in access to and control over economic and social resources, decision-making and the division of labour between the sexes, trade policies have a different impact on women than on men. Moreover, the National Institute of Statistics, in its Répertoire National des Entreprises (RNE), estimates that 81.4% of formal businesses are run by men (RNE, 2023) and 86% of formal industrial businesses, i.e. 6 out of 7, are run by men (RNI, 2024).

Despite the fact that the country has signed and ratified several international agreements on gender equality and the advancement of women, even in 2023, the UNDP deplores the persistence of inequalities. According to Equal Measures 2030 (2022), Côte d'Ivoire ranks 121st out of 144 countries, a far from honourable position. In addition, the 2022 survey by Afrobarometer, a non-partisan survey research network, conducted by the Centre de Recherche et de Formation sur le Développement Intégré with 1,200 Ivorian adults, whose sample produces national results with margins of error of ± 3 percentage points at a 95% confidence level, reveals that women benefit less from secondary and post-secondary education than men, that

men (54%) have more autonomy in managing household income than women (36%), etc. The full report on the *Situation de la Femme en Côte d'Ivoire 2022* (Situation of Women in Côte d'Ivoire 2022) by the Ministry for Women, the Family and Children highlights these inequalities and suggests that major efforts still need to be made to effectively reduce the disparities and other injustices observed to the detriment of women.

In its final report, the CN-ZLECAf deplores the contrasting situation of the status of women in Côte d'Ivoire, without however expressing an opinion on the strategies to be implemented to improve this situation. Although the AfCFTA recognises the important role played by women in transcontinental trade (70% of traders, CEA 2021), there is no protocol on work for women, young people and workers in the informal sector (Hod Anyigba, 2024). For Hod Anyigba (2024), executive director of Africa Labour Research and Education Institute, labour protocols for youth, women and informal workers can play a key role in ensuring that the benefits of trade and economic integration are shared more equitably, thereby promoting inclusion and helping to redress historic inequalities.

6. Conclusion

To sum up, the Ivorian economy is marked by many obstacles. One of the key issues for women in the AfCFTA is the low representation of women in SMIs and formal SMEs. Most Ivorian women work in the tertiary and informal sectors, i.e. activities with low added value, exposed to all kinds of risks and with no access to finance. And yet the AfCFTA focuses on products of African origin. So, without special measures and support, Côte d'Ivoire's entry into the AfCFTA could restrict the few existing opportunities for women, but also increase their dependence on men, worsening the situation of women in the country.

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Appendix. Acronyms

ACET	African Center for Economic Transformation
AfCFTA	African Continental Free Trade Area
AU	African Union
CEA	UN Economic Commission for Africa
CEMAC	Economic and Monetary Community of Central Africa
CN-ZLECAf	National Committee of the African Continental Free Trade Area (Côte d'Ivoire)
DGD	General Directorate of Customs
ECOWAS	Economic Community of West African States
FEMNET	African Women's Development and Communication Network
GDP	Gross Domestic Product
GIZ	Deutsche Gesellschaft für Internationale Zusammenarbeit
IICBA	International Institute for Capacity Building in Africa
IOM	International Organization for Migration (OIM in French)
ITFC	International Islamic Trade Finance Corporation
JDGE	Journal of the General Directorate of Economy of Côte d'Ivoire
MCS	Social Accounting Matrix
RNE	National Business Directory
SESRIC	Statistical, Economic and Social Research and Training Centre for Islamic Countries
SME	Small and Medium-sized Enterprises
SMI	Small and Medium-sized Industries
UMA	Arab Maghreb Union
UNDP	United Nations Development Programme
UNESCO	United Nations Educational, Scientific and Cultural Organization
WAEMU	West African Economic and Monetary Union